

IN THE SENATE

SENATE BILL NO. 1288

BY EDUCATION COMMITTEE

AN ACT

RELATING TO EDUCATION; AMENDING CHAPTER 10, TITLE 33, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 33-1016, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING THE IDAHO HIGH-NEEDS STUDENT FUND; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 10, Title 33, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 33-1016, Idaho Code, and to read as follows:

33-1016. IDAHO HIGH-NEEDS STUDENT FUND. (1) As used in this section:

(a) "Eligible costs" means individualized education program-related expenses incurred solely for providing special education and related services, including but not limited to nursing, interpreting, speech therapy, occupational therapy, physical therapy, personal care, specialized equipment, extended school-year services, and school-based medicaid match. Eligible costs shall not include routine classroom costs, basic materials and supplies, standard transportation, and other routine expenses not directly tied to an individualized education program. Costs shall be calculated to include any medicaid-eligible reimbursements.

(b) "High-needs student" means a student with a disability whose individualized education program-related costs exceed thirty thousand dollars (\$30,000). Costs shall be directly tied to special education mandated by an individualized education program and not covered by other funding sources, including school-based medicaid.

(c) "Individualized education program" means a program developed to ensure that a student with a disability receives specialized instruction and related services.

(d) "Local education agency" means school districts and independent public charter schools that are not part of a district.

(e) "Rural local education agency" means a rural school district or rural public charter school as those terms are described in section 33-319, Idaho Code.

(f) "Student with a disability" means a student of school age, pursuant to section 33-201, Idaho Code, with cognitive impairments, hearing loss, deafness, speech or language impairments, visual impairments, blindness, deaf-blindness, serious emotional disturbance, orthopedic impairments, severe or multiple disabilities, autism, traumatic brain injury, developmental delay, or specific learning disabilities who, by reason of the qualifying disability, requires special education and related services.

1 (2) There is hereby established in the state treasury the Idaho high-
2 needs student fund to be administered by the state department of education.

3 (a) Moneys in the fund shall consist of the following:

4 (i) Legislative appropriations;

5 (ii) Donations and contributions made to the fund; and

6 (iii) Interest earned on idle moneys in the fund.

7 (b) Moneys in the fund shall be appropriated to provide additional fi-
8 nancial support to local education agencies for the eligible costs re-
9 lated to educating high-needs students.

10 (c) Local education agencies may apply for reimbursement for any high-
11 needs student on an annual basis. The application shall require:

12 (i) A detailed list of eligible costs incurred to fulfill the re-
13 quirements of an individualized education program;

14 (ii) An attestation to submit documentation demonstrating full
15 transparency of eligible costs incurred that have not been reim-
16 bursed with other sources of federal funding, including school-
17 based medicaid; and

18 (iii) Any other documentation requested by the state department of
19 education.

20 (3) Upon approval by the state department of education of a local edu-
21 cation agency's application, the local education agency shall be eligible to
22 receive reimbursement for eligible costs as follows:

23 (a) Up to one hundred percent (100%) of costs above thirty thousand dol-
24 lars (\$30,000), capped at eighty thousand dollars (\$80,000);

25 (b) Up to eighty percent (80%) of costs above eighty thousand dollars
26 (\$80,000); and

27 (c) A maximum reimbursement of one hundred thousand dollars (\$100,000)
28 per student.

29 (4) (a) The full amount of any approved application shall be subject to
30 the following conditions:

31 (i) Up to sixty percent (60%) of the amount in the Idaho high-
32 needs student fund as of July 1 of the current fiscal year shall be
33 reserved for non-rural local education agencies;

34 (ii) Up to forty percent (40%) of the amount in the Idaho high-
35 needs student fund as of July 1 of the current fiscal year shall be
36 reserved for rural local education agencies;

37 (iii) For those applications received by June 1 of the current fis-
38 cal year, the state department of education shall pay the approved
39 amount if such amount is within the estimated total fund balance;
40 and

41 (iv) If the total fund balance is not sufficient to pay all ap-
42 proved applications, the state department of education shall au-
43 thorize a proportionate amount to be paid to each local education
44 agency on a pro-rata basis.

45 (b) Any remaining funds set aside pursuant to paragraph (a) (ii) of this
46 subsection as of July 1 of the current fiscal year shall be made avail-
47 able to non-rural local education agencies.

48 (5) Any funds received by a local education agency pursuant to this
49 section shall be subject to the state department of education's system for

1 public school budgeting, accounting, and reporting to provide full trans-
2 parency and accountability and to avoid duplicative reimbursement.

3 (6) Beginning in fiscal year 2028, by January 5 of each year, the state
4 department of education shall report to the governor, the senate education
5 committee, the house of representatives education committee, and the state
6 board of education:

7 (a) The total moneys in the Idaho high-needs student fund in the current
8 fiscal year and the prior fiscal year;

9 (b) The number of applicants to the Idaho high-needs student fund in the
10 current fiscal year and the prior fiscal year;

11 (c) The amount of funds awarded in the current fiscal year and the prior
12 fiscal year and what goods and services were reimbursed; and

13 (d) Other matters concerning the program that are:

14 (i) Considered relevant by the state department of education; or

15 (ii) Specifically requested for inclusion in the report by the
16 governor or by any member of the Idaho senate or house of represen-
17 tatives.

18 SECTION 2. An emergency existing therefor, which emergency is hereby
19 declared to exist, this act shall be in full force and effect on and after
20 July 1, 2026.